Valero Energy (VLO)

Cyclical Peak Earnings

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*Cyclical Peak Earnings. Q3 2026 crack spreads reached extraordinary levels on Russian and Middle Eastern refining disruptions. JPMorgan estimates Valero pretax of $8.95B (+50% QoQ). The stock gained 49% in Q3 alone [Mkt Oct-26]. Best Operator in Refining. 97% utilization with throughput records in the Gulf Coast and North Atlantic. Scale and complexity advantages over smaller refiners. Q2 net income of $3.72B exceeded the entire FY25 total [8-K Q2 2026]. Priced for the Cycle. At $444.71 [Mkt 16-Oct-26], the stock sits between our $327.61 DCF base and $467.13 bull case. NTM P/E of 9.4x is a classic peak-earnings multiple. This is a trade on margin duration, not a compounder. Our framework screens it as a **Hold** with a $332.56 blended target, 25% below the current price.*

HOLD	$332.56	-25%	$444.71
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

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Executive summary

Best Operator in Refining. 97% utilization with throughput records in the Gulf Coast and North Atlantic. Scale and complexity advantages over smaller refiners. Q2 net income of $3.72B exceeded the entire FY25 total [8-K Q2 2026].

Priced for the Cycle. At $444.71 [Mkt 16-Oct-26], the stock sits between our $327.61 DCF base and $467.13 bull case. NTM P/E of 9.4x is a classic peak-earnings multiple. This is a trade on margin duration, not a compounder.

$44.5B	$3.72B	8.36%	97%	$122.7B	$2.35B
REVENUE (Q2 2026)	NET INCOME (Q2 2026)	NET MARGIN (Q2 2026)	REFINERY UTILIZATION	REVENUE (FY25)	NET INCOME (FY25)

The moat is structural

97% refinery utilization; Gulf Coast and North Atlantic throughput records

Three scenarios make the valuation range explicit

The DCF values Valero Energy across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$207.88**	-53%
Base	50%	**$327.61**	-26%
Bull	25%	**$467.13**	+5%

Bear ($207.88, -53%): Growth disappoints and multiples compress; the $207.88 target marks the downside case.

Bull ($467.13, +5%): Execution compounds and the multiple rerates; the $467.13 target marks the upside case.

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The probability-blended target implies -25% upside

Blended target: $332.56 per share

A 25% Bear / 50% Base / 25% Bull weighting implies -25% upside from the $444.71 reference price.

$332.56

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

NTM P/E 9.4x [Mkt 16-Oct-26] DCF Base $327.61 vs $444.71 spot [Mkt 16-Oct-26] PEG 1.91 [Mkt 16-Oct-26] Low P/E reflects peak earnings. DCF implies 26% downside to base; bull case $467 is the upside bound.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $332.56 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

97% refinery utilization; Gulf Coast and North Atlantic throughput records [8-K Q2 2026]

Crack spreads at extraordinary levels on Russian/Middle East disruptions [Mkt Oct-26]

Low-cost Gulf Coast footprint with scale advantage over smaller refiners [10-K FY25]

What to monitor

Oct/Nov 2026. Q3 2026 Earnings: JPMorgan estimates pretax $8.95B (+50% QoQ). Expectations are sky-high.

2026-2027. Diesel crack spreads and refinery outage duration determine margin persistence.

2027. Renewable diesel and low-carbon projects diversify the earnings base.

$44.5B	$3.72B	8.36%	97%
REVENUE (Q2 2026)	NET INCOME (Q2 2026)	NET MARGIN (Q2 2026)	REFINERY UTILIZATION

Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME
2025	$122.7B	$5.4B	$2.3B

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2024	$129.9B	$4.8B	$2.8B
2023	$144.8B	$12.9B	$8.8B
2022	$176.4B	$16.8B	$11.5B

Key risks

Margin Mean-Reversion. Crack spreads are mean-reverting; current diesel margins are described as extraordinary and will normalize. [10-K FY25]

Operational Volatility. Refinery outages, hurricanes, and regulatory changes can swing quarterly results violently. [10-K FY25]

Energy Transition. Long-term demand erosion from EVs and renewable fuels pressures the terminal value. [10-K FY25]

Investment view

A faster-than-expected margin collapse would cut Trend and Valuation sharply. Prolonged diesel tightness into 2027 supports the bull case.

Hold. The $332.56 blended target implies -25% upside, balancing the $207.88 / $327.61 / $467.13 Bear / Base / Bull targets.

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Upcoming catalysts

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